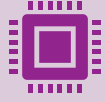


HUAWEI MAY DEMAND MORE ROYALTIES FROM US FIRMS THAT RELY ON ITS PATENTED TECH

A PRESENTATION BY KENDALL
GOODLAND

Trade War Backdrop

- Timeline highlights
 - 2018: Tariff escalation begins.
 - 2019: Huawei added to U.S. Entity List.
- Broader strategic tension: tech supremacy, IP theft accusations, and national security.
- Emphasize how this fits into the “decoupling” narrative.



Huawei holds > 80,000 global patents (as of 2019).



CNBC article: company signals readiness to use patents against U.S. firms.



Patent lawsuits and licensing fees become bargaining tools.



Notable quote: "Huawei could demand U.S. companies pay for using its patented technology."

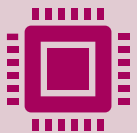
Patents as Geoeconomic Leverage



Intellectual property as a **strategic asset**—not just a legal tool.



“Weaponization” of IP: control of 5G standards, royalties, and supply-chain dependencies.



Compare alongside the U.S. reliance on export controls (chips, software).



Visual: simple diagram showing reciprocal dependencies (U.S. → chips, Huawei → 5G patents).

Economic and Policy Implications

- For the U.S.: potential costs to domestic firms using Huawei technology.
- For China: patent diplomacy strengthens its negotiation position.
- For global markets: uncertainty in telecom supply chains and standard-setting bodies (3GPP, ITU).
- Policy tension: open innovation vs. national security restrictions.

Broader Theoretical Linkages

Political economy of technology

- Technology as a strategic industry (developmental-state logic).
- Interdependence and power asymmetries in global value chains (GVC framework).
- **Innovation policy dimension:** states backing “national champions” through R&D subsidies, IP protection, and export incentives
- Mention that Huawei’s patent strategy mirrors earlier U.S. and Japanese industrial policy phases.

Discussion Questions

Strategic IP use:

- Should governments treat patents as tools of national power?
- How might this reshape norms in global IP law?

Tech decoupling:

- Can the U.S. and China realistically separate their innovation systems without harming global R&D efficiency?

Developmental-state parallel:

- How does Huawei's strategy reflect state-supported technological upgrading similar to Japan, Korea, or Taiwan?

Policy implications:

- What should smaller economies (e.g., Taiwan, South Korea) do to navigate this great-power tech rivalry?

References

Franck, T. (2019, June 21). *Huawei could target more U.S. firms over patents as trade war continues, report says*. CNBC.

<https://www.cnbc.com/2019/06/21/us-china-trade-war-huawei-could-target-more-us-firms-over-patents.html>